26STCV02996 26STCV02996

County: los-angeles

Division: Civil Law and Motion

Department: 508

Hearing date: 2026-08-11

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C508%2C08%2F11%2F2026

Source SHA-256: 775bc4b62b3142bbecd70f500cc52d654dd697a99cbcc98dc985df111529c6f9

Case Number: 26STCV02996 Hearing Date: August 11, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department 508

GAUDI
HORIZON LLC, et al.,

Plaintiffs,

vs.

CHATEAU
OPERATING CORP., et al.,

Defendants.

Case No.:

26STCV02996

Hearing Date:

August 11, 2026

Hearing Time:

8:30 a.m.

[TENTATIVE] ORDER RE:

DEFENDANTS CHATEAU OPERATING CORP., SWISH DEVELOPMENT LLC, ANN SUNG, AND ERIC CHEN'S MOTION TO SET ASIDE ENTRIES OF DEFAULT

Background

On January 28, 2026, Plaintiffs Gaudi Horizon LLC and Gold Blossom, LLC (jointly, "Plaintiffs") filed a complaint against twenty defendants, including Defendants Chateau Operating Corp. ("Chateau Operating"), Swish Development LLC ("Swish Development"), Ann Sung ("Sung"), and Eric Chen ("Chen") (collectively, "Defendants"), asserting ten causes of action for (1) breach of written contract, (2) fraud / promissory fraud, (3) negligent misrepresentation, (4) conversion, (5) breach of fiduciary duty, (6) accounting, (7) unjust enrichment/restitution, (8) constructive trust, (9) fraudulent transfer (Civ. Code § 3439 et seq.), (10) violation of Penal Code § 496(c).

The Court Clerk entered Plaintiff's request for entry of default against Chen on March 23, 2026, Chateau Operating on May 7, 2026, Sung on May 27, 2026, and Swish Development on June 4, 2026.

Defendants now move for an order setting aside the defaults entered against them. Plaintiffs oppose. Defendants replied.

Legal Standard

Code of Civil Procedure section 473, subdivision (b) provides in pertinent part as follows:

"The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken… Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to the attorney's mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against the attorney's client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against the attorney's client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect."

"[T]he moving party has the burden of showing that the neglect leading to default was excusable." (JJackson v. Bank of Am. (1983) 141 Cal.App.3d 55, 58.) "[B]ecause the law strongly favors trial and disposition on the merits, any doubts in applying section 473 must be resolved in favor of the party seeking relief from default." (Elston v. City of Turlock (1985) 38 Cal.3d 227, 233 [superseded by statute on other grounds as stated in Tackett v. City of Huntington Beach (1994) 22 Cal.App.4th 60, 64].) Where the party in default moves promptly to seek relief, and no prejudice to the opposing party will result from setting aside the default, "very slight evidence will be required to justify a court in setting aside the default." (Ibid.) "While section 473 authorizes a court to relieve a party from default suffered through inadvertence, surprise, excusable neglect or mistake, 'these words are not meaningless, and the party requesting such relief must affirmatively show that the situation is one which clearly falls within such category.'" (Kendall v. Barker, 197 Cal. App. 3d 619, 623 (1988) (emphasis in original).)

For discretionary relief, "[t]he six-month time limit for granting statutory relief is jurisdictional and the court may not consider a motion for relief made after that period has elapsed. [Citation.] The six-month period runs from entry of default, not entry of judgment." (Manson, Iver & York v. Black (2009) 176 Cal.App.4th 36, 42.) When accompanied by an attorney declaration, the six-month clock for mandatory relief from an attorney mistake runs from the entry of default judgment. (Sugasawara v. Newland (1994) 27 Cal.App.4th 294, 296-297.)

Discussion

Defendants move under Code of Civil Procedure section 473, subdivision (b), to set aside the defaults on the grounds that they resulted from mistake, inadvertence, surprise or neglect.

Defendants assert that the "[m]otion arises from a series of defaults that were obtained through procedural gamesmanship rather than any neglect or failure by Defendants." (Mot., 1:3-4.) Specifically, Defendants elaborate that Plaintiffs "took advantage of a brief transition in Defendants' representation to seek and obtain entries of default, despite being fully aware that Defendants had every intention of defending the instant matter (and, not to mention, despite the Civility Guidelines of the Los Angeles Superior Court). (Declaration of Garrett M. Mott ('Mott Decl.') ¶ 17.) In fact, before any default was entered, the Parties actively engaged in early settlement discussions, including a settlement conference on or about March 16, 2026; at that settlement conference, Defendants were represented by Hennigh Law Corporation ('Hennigh Law')." (Mot., 1:8-14.)

Defendants provide two declarations in support. First is Defendants' current lead counsel, John J. O'Kane IV, who declares that "[w]ithin days of being retained, I reviewed the Court's dockets and documents in this matter and discovered Defendants Chateau Operating, Sung, and Chen all had defaults entered against them. From my review, I discovered that on March 23, 2026, Plaintiffs obtained an entry of default against Defendant Chen. Plaintiffs thereafter sought defaults against Defendant Chateau Operating on March 24, 2026, and Defendant Sung on May 4, 2026. Both requests were initially rejected before being refiled and entered on May 7, 2026 and May 27, 2026, respectively." (O'Kane Decl., ¶ 3.) O'Kane reached out to Plaintiffs' counsel to informally resolve this, but the attempt was unsuccessful. (O'Kane Decl., ¶¶ 4-7.) O'Kane also explains that "[a]t the time, I did not realize that the Clerk of this Court had entered default against Defendant Swish Development on June 4, 2026. The entry of default was not yet reflected on the Court's docket, and I was not informed by Plaintiffs' counsel. As a result, on or about June 12, 2026, my office filed an Answer on behalf of Swish Development. After learning default had already been entered, Defendants have attached Swish Development's proposed Answer to this Motion." (O'Kane Decl., ¶ 8.) As required by Code of Civil Procedure section 473, subdivision (b), O'Kane attached proposed answers for Chateau Operating, Swish Development, Sung, and Chen to his declaration. (O'Kane Decl., ¶ 9, Exs. 2-5.)

Defendants also provide a declaration from their former counsel, Garrett M. Mott from Hennigh Law. Mott explains that "my law firm and I represented Defendants in pre-litigation settlement negotiations with counsel for Plaintiff, the Law Offices of Bin Li. More specifically, my team and I held multiple conversations directly with Plaintiff's counsel concerning the matters at issue in this lawsuit." (Mott Decl., ¶ 1.) Mott explains that he "was not alerted to the matter until my client was served on or about February 25, 2026. After speaking with my client, I called Mr. Li and left him 'messages with his receptionist' on multiple days, including in or around late February and early March 2026." (Mott Decl., ¶ 2.) Mott attests that after sending two follow-up emails, he was able to connect with Mr. Li. (Mott Decl., ¶¶ 3-5.) After connecting, Mott attests that the two had a lengthy discussion, and he "told Mr. Li that new business litigation counsel will be needed for this matter… I told him that I would be willing to assist in an early settlement discussion between the principals, but that I would not be counsel of record as I am construction counsel, not business litigation counsel. Mr. Li agreed to such an early settlement meeting." (Mott Decl., ¶ 5.)

Thereafter, Mott attests that "[o]n March 16, 2026, my office facilitated the early settlement meeting at Mr. Li's offices. The early settlement meeting did not resolve the matter, but there were discussions to hold off on prosecution of the matter, while we reviewed documents." (Mott Decl., ¶ 8.) "Three days later, on March 19, 2026, Mr. Li sent a confirming email discussing the documents we would review and proposed a settlement offer. I produced documents requested by Mr. Li in conformance with this understanding." (Mott Decl., ¶ 9.) Mott attests that "[b]ewilderingly and for the first time, while settlement discussions were continuing, an associate in Mr. Li's office wrote me on March 23, 2026, at 11:43 a.m., that he intended to request entries for default. I wrote: 'I would check with your partner. I spoke to Mr. Li on March 10 at 10 a.m. During that discussion, I requested the standard 30-day extension while we determine representation, particularly because we planned to have a settlement meeting the following week. I also agreed to provide documents, which I did. Mr. Li agreed. I appreciate the professional courtesy. Thank you.'" (Mott Decl., ¶ 10, emphasis omitted.)

Mott then attests that "Mr. Li then rejected the first request for a 30-day extension." (Mott Decl., ¶ 11.) Mott replied explaining "that his rejection was in violation of the LASC Civility Guidelines, Appendix 3.A(a)(1), 'First requests for reasonable extensions of time to respond to litigation deadlines, whether relating to pleadings, discovery or motions, should ordinarily be granted as a matter of courtesy unless time is of the essence,'" and "then wrote, 'Time is not of the essence. In fact, you have an outstanding settlement demand to my client that we are actively working up to see if we can get the collateral required. Please attach this email chain to the Court when filing your Request for Default.'" (Mott Decl., ¶¶ 12-13.) Mott declares that "Mr. Li neither attached my email to the Request for Default nor granted a standard professional courtesy—a courtesy that I have had granted in every instance in my fourteen (14) years of practice—except here." (Mott Decl., ¶ 14.)

Further, Mott explains that "[a]s previously discussed above, I reiterated to Mr. Li multiple times that Defendants would be retaining litigation counsel in the very short term and that Defendants would substantively respond to the Complaint and that I was simply asking for a standard professional courtesy. This was true: Defendants retained the Skiermont Derby law firm, Skiermont Derby is representing Defendants in this matter, that that firm is handling this Motion and Defendants' defense on the merits." (Mott Decl., ¶ 15.) Mott explains he is "aware that Plaintiffs thereafter proceeded to seek defaults against Defendants despite my repeatedly putting them on notice that litigation counsel (now Skiermont Derby LLP) was in the process of being retained. Despite Plaintiffs' counsel knowing that I represented Defendants in other matters and that I had been negotiating in this matter on Defendants' behalf in pre-litigation settlement discussions, I was never served with any proper Request for Entry of Default and was not notified that Plaintiffs intended to seek default against any Defendant, including Chateau Operating and Swish Development. In fact, Plaintiff's first Request for Entry of Default was rejected by the Court. Despite this, Plaintiff never served the notice of rejection, which I pulled from the Court's Docket myself, neither did he inform me he would file another one." (Mott Decl., ¶ 16.)

Finally, Mott

attests that “Defendants have acted with reasonable diligence at all times. Before and then immediately after the lawsuit was filed, Defendants sought to resolve this dispute while represented by counsel (me). Immediately once it became clear that settlement was not possible, Defendants retained counsel (Skiermont Derby), and that law firm is handling both this Motion and the substantive defense of the case on the merits. Perhaps more important, Plaintiffs’ counsel knew, for I personally advised them multiple times, that Defendants were in the process of retaining litigation counsel; for this reason, defaults never should have been sought under the Civility Guidelines and other applicable law. To the extent there was any gap in representation of Defendants, that gap was short, not caused by Defendants, was immediately resolved, and Plaintiffs’ counsel was on notice at all relevant times.” (Mott Decl., ¶ 17.)

In opposition,
Plaintiffs contend that relief is not warranted, and “should the Court be inclined to grant any relief, Plaintiffs respectfully request that such relief be conditioned on Defendants’ payment of the reasonable costs and attorneys’ fees in the amount of $3,600.00 levied against defendant and counsel of record Plaintiffs incurred in obtaining the four defaults and opposing this Motion, as Section authorizes.” (Opp., 3:9-12.)

Plaintiffs provide
the declaration of their counsel, Bin Li, in support. Li attests that Hennigh Law contacted his “office concerning this matter in connection with pre-litigation settlement discussions. On March 11, 2026, Garrett M. Mott of Hennigh confirmed in writing that he represented ‘Chateau only, as of this moment,’ and, when my office asked which of the several ‘Chateau’ defendants he meant, he answered ‘The first one’ — Chateau Operating Corp. Hennigh never represented Eric Chen, Ann Sung, or Swish Development LLC in this action. Hennigh never filed any pleading, appearance, or other paper in this action on behalf of any Defendant.” (Li Decl., ¶ 2.) Li explains that “[d]uring my telephone discussions with Mr. Mott on or about March 10, 2026, we did not discuss or agree to any extension of any Defendant’s time to respond to the Complaint. We discussed arranging an early settlement meeting, which I arranged. At no time did I agree to extend any Defendant’s deadline to respond, and Hennigh never sent my office any email or other writing confirming any such extension.” (Li Decl., ¶ 3.)

Li further

explains that "[o]n March 16, 2026, an early settlement meeting was held at my office. Eric Chen and Ann Sung attended in person. During that meeting, I reminded Mr. Chen and Ms. Sung in person that they needed to file a timely response to the Complaint and that Plaintiffs would otherwise seek entry of default against them. The meeting did not resolve the matter." (Li Decl., ¶ 4.) Then, "[o]n March 23, 2026, my office advised Mr. Mott in writing that the time to respond had passed and that Plaintiffs would file a Request for Entry of Default unless a response was served by the close of business. In response, Hennigh asserted for the first time that an oral 30-day extension had been granted on March 10. That assertion is not true; no extension was discussed or granted, and no writing confirming any extension exists. In the same exchange, Hennigh stated that it would 'now request the standard 30-day extension.'" (Li Decl., ¶ 5, Ex. A.) Li then explains that "[o]n March 25, 2026, I offered, as a professional courtesy, to withdraw the default notice if Defendants would file a straight answer to the Complaint. Defendants did not accept that offer and filed no responsive pleading." (Li Decl., ¶ 6.) Default was then entered against the Defendants and "[e]ach Request for Entry of Default was accompanied by the declaration of mailing required by Code of Civil Procedure section 587, stating that a copy of the request was mailed to each Defendant at its last known address." (Li Decl., ¶ 7.)

Plaintiffs' opposition asserts that "Defendants' reliance on 'ongoing settlement discussions' supplies no excuse. Settlement negotiations do not toll or extend the statutory deadline to respond to a complaint. The burden is on Defendants to explain this – and there is no explanation forthcoming from the Defendants. Defense counsel must provide legal authority for this proposition and none is forthcoming. A defendant who allows the deadline to lapse while hoping settlement will moot the case has gambled and lost; that is a calculated risk, not an excusable error. Nor was Defendants' reliance on a purported oral 'extension' reasonable." (Opp., 7:3-8.)

Additionally, Plaintiffs assert that they "were [not] obligated to serve the default requests on Hennigh Law… For purposes of Section 587, a defendant's 'attorney of record' is counsel who has appeared in the action. Hennigh Law never appeared in this action for any Defendant; it acted solely as settlement counsel for Chateau Operating Corp. Because no Defendant was represented by counsel of record in this action, mailing the requests to each Defendant at its last known address was exactly what section

587 requires." (Opp., 8:5-11.) However, the Court notes that Chen and Sung attended settlement negotiations with Hennigh Law. Although it is not memorialized in writing, one may infer that, because Chen and Sung attended settlement negotiations with Hennigh Law, Hennigh Law represented them.

Plaintiffs also assert
that "[t]he Court should disregard the proposed answers as they are not drawn in conformity of acceptable pleading requirements for affirmative defenses." (Opp., 9:24-25.) However, the validity and reasonableness of the defenses raised in the answers is not properly the subject of a motion to set aside. Rather, the Court looks to see if Defendants provided proposed answers, which they did.

Defendants' reply
contends that "Plaintiffs attempt to divert attention from the core issues presented in Defendants' Motion by manufacturing a (false) 'he said, she said' narrative between Plaintiffs' counsel and Defendants' then-counsel Hennigh Law. The material facts, however, are largely undisputed. Indeed, Plaintiffs' Opposition and the supporting papers confirm the timeline and nature of the events: (1) The Parties were actively engaged in early settlement discussions and had exchanged relevant financial documents, demonstrating Defendants' clear intent to defend this action on its merits (Opp. Ex. A [March 10–15, 2026 emails]); (2) Plaintiffs knew Defendants were in the process of retaining litigation counsel when they sought the entries of default (Id. [March 23, 2026 emails]); (3) Immediately after Defendants' retained Skiermont Derby LLP, counsel promptly contacted Plaintiffs' counsel and requested a stipulation to set aside the entries of default so that this matter could be resolved on the merits (Declaration of John J. O'Kane IV ('O'Kane Decl.') Ex. 1); and (4) Plaintiffs' counsel inexplicably refused to stipulate, despite the complete absence of any cognizable prejudice to Plaintiffs that would result from setting aside the defaults." (Reply, 1:7-21.)

Additionally,
Defendants contend that "Plaintiffs' Opposition identifies no prejudice that would result from setting aside the defaults—nor could it. (See generally Opp.) This action remains in the early stages: no discovery has commenced, no trial date has been set, and the Complaint itself was filed on January 28, 2026— less than two (2) months before the first default was entered against Defendants. Plaintiffs do not contend, for example, that any evidence has been lost, that witnesses have become unavailable, or that their ability to

prosecute this action has otherwise been affected or impaired… Defendants have offered considerably more than slight evidence that the defaults resulted from reasonable mistake, inadvertence, surprise, or excusable neglect. Accordingly, California's liberal policy favoring adjudication on the merits supports granting relief." (Reply, 5:29-6:6.)

Pursuant to the declarations provided by Defendants' counsel, it is clear that default was entered against Defendants on the grounds of inadvertence, mistake, and excusable neglect. Defendants' counsel, Mott, was actively involved in settlement negotiations with Plaintiffs' counsel. Engaging in settlement negotiations is evidence that the parties intended to participate in the lawsuit. Additionally, pursuant to the email chain provided by Plaintiffs' counsel, Li, there is a disagreement between Li and Mott regarding whether Mott sought a 30-day extension for the entry of default, because Mott contends that he made the request verbally so there is no record of it. The email chain also corroborates that Li did agree to withdraw the default notice if Mott filed an answer to the complaint. However, the email chain ends there, so the Court cannot see Mott's response, although Li contends that "Defendants did not accept that offer." (Li Decl., ¶ 6, Ex. A.) Notwithstanding, the instant motion is timely, Plaintiffs fail to identify prejudice, Defendants provide evidence that the defaults were entered due to inadvertence, mistake, and excusable neglect, and Defendants' new counsel acted promptly once aware of the situation. Accordingly, the Court finds that relief is proper under Code of Civil Procedure section 473, subdivision (b).

As for fees, Plaintiffs assert that, "[s]hould the Court nonetheless be inclined to grant relief, it should not do so without conditions. Section 473(b) permits the Court to grant relief only "upon any terms as may be just," and section 473(c) authorizes the Court, whenever it grants relief under the section, to impose a monetary penalty and to direct payment of the opposing party's reasonable costs and fees. Defendants forced Plaintiffs to prepare and file four separate requests for entry of default and to oppose this Motion, all because Defendants chose not to file simple answers they were repeatedly invited to file." (Opp., 9:15-20.)

Defendants' reply addresses this, asserting that "Plaintiffs request $3,600.00 in fees and costs as a condition of relief under the mandatory fee provision of section 473(b). (Opp. at 3:9–13.) However, this provision applies only when relief is granted based on an attorney affidavit of fault. Defendants do not request relief on this basis. Indeed, once retained, Defendants' counsel promptly contacted Plaintiffs' counsel and sought a stipulation to resolve the defaults at virtually no cost to either side. (O'Kane Decl. ¶¶ 4–6, Ex. 1.) Had Plaintiffs accepted this offer, they would have avoided the very fees that they now ask this Court to impose upon Defendants. (Id.) Having refused a cost-free resolution, Plaintiffs should not be entitled to recover the costs of the motion practice that their own refusal necessitated." (Reply, 5:17-25.)

The Court finds that fees are not warranted here. First and foremost, Defendants brought their request for relief under the discretionary provision of Code of Civil Procedure section 473, subdivision (b), so granting fees is not required. Second, Defendants' counsel offered to stipulate with Plaintiffs' counsel, but Plaintiffs' counsel declined. Plaintiffs' counsel could have avoided the fees incurred in opposing the instant motion by stipulating with Defendants' counsel. Accordingly, the Court declines to impose sanctions against Defendants' counsel.

Conclusion

Based on the foregoing, Defendants' motion to set aside entry of default is GRANTED. Defendants are ordered to file their respective answers within three days of the date of this Order.

Defendants are ordered to provide notice of this Order.

DATED: August 11, 2026

____

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court